AUDIT AND ASSURANCE

Suggested Answers
July-August 2022

Answer to the Question# 1(a):

The transaction between Zoom Limited and the audit manager is a normal commercial transaction for Zoom Limited, but it is not at arm's length because the audit manager gets 50% off normal prices. The transaction may not be material for Zoom Limited, but it is likely to be material for the audit manager.

Consequently, there has been a breach of the ethical code by the audit manager. The audit manager has created a self-interest threat (and possibly a familiarity threat) by entering into the transaction with Zoom Limited.

- The ethics partner of the audit firm should be consulted and asked to assess the materiality of the transaction between Zoom Limited and the audit manager and to consider whether disciplinary action is appropriate.
- The audit manager should be removed immediately from the Zoom Limited audit team and replaced by someone else.
- Those charged with governance of Zoom Limited (the board of directors) or the audit committee should be told about the action that the audit firm has taken, and the reasons why the action was necessary.
- In view of the threat to the objectivity and independence of the former audit manager, the audit plan for the Zoom Limited audit should be reviewed and amended if this is considered necessary.

The ethics partner may also wish to check whether the former audit manager has entered into commercial arrangements on favourable terms with any other audit client.

Answer to the Question# 1(b):

The engagement would involve non-audit work. If the client is not a public c interest entity, the audit firm can accept this engagement subject to certain conditions:

- The management of the client company must recognize that they have the responsibility for internal controls in the company. This responsibility cannot be passed on to the auditors.
- The engagement team will not be required to act in a management capacity in any way. For example, they must not be given any responsibility for the design or implementation of any improvements in internal control that they recommend. In addition, management must designate a competent employee to be responsible for management decisions.
- There must be sufficient controls against a self-review threat. For example, the individuals assigned to the engagement team to do the work should not include anyone who will also be a member of the audit team.

If the client is a public interest entity, the engagement is not permitted by the Code.

Answer to the Question# 1(c):

Review	**Statutory Audit**
Scope:	
• Usually agreed between parties	• In accordance with Companies Act 1994
• Restricted to instructions	• In accordance with audit regulations
Form of report:	
• Addressed to the board	• Addressed to members
• Wholly discretionary	• On true and fair view
• Private report	• Format prescribed by the ISA
• Exclusively internal use	• Report in public domain

Answer to the Question# 1(d):

ICAB members should:

- Behave with integrity in all professional and business relationships
- Strive for objectivity in all professional and business judgements
- Not accept or perform work beyond competence he/she possess. However, one may accept assistance when existing competence seems inadequate
- Carry out work with due care, skill and diligence and follow expected technical and professional standards
- Respect the confidentiality of information acquired
- Act professionally and comply with relevant laws and regulations.

Answer to the Question# 2(a):

The following matters may be considered.

- **Reputation.** The audit firm may decide that it does not wish to be associated with a client company whose public relations image is poor. The bad reputation of the company may transfer to its auditors.

- **Advocacy threat.** The criminal or regulatory investigation may lead to legal action, and the audit firm may be faced with an advocacy threat, and be expected to defend the company against the allegations that have been made against it.

- **Aggressive management.** Brothers Company has aggressive managers who are willing to argue with auditors and who want to keep costs as low as possible. There is a high risk of continuing disputes over audit fees.

- **Audit risk.** If the company applies for new bank loans, it will probably be required to submit audited financial statements to the bank as part of the loan application. The management of Brothers have a strong interest in presenting financial statements that show strong profits and a healthy statement of financial position. The risk that the financial statements may be misstated could therefore be high. (The audit firm would probably wish to consider including a disclaimer in their audit report, to reduce the risk of liability to a bank for 'negligent' auditing in the event that the financial statements turn out to be misstated and the errors are not identified by the auditors.)

- High audit risk is also suggested by the weak internal controls and failure by management to improve controls.

- The high audit risk means that a new auditor would want to conduct a very careful audit of the opening balances: this would add to the cost and time required for the audit, which Brothers management may refuse to accept.

However there is no evidence of fraud (or suggestion of fraud) by anyone in the company, and the audit firm may decide to accept the audit appointment, subject to agreement about fees. Acceptance of a new audit client is a matter of judgement.

Answer to the Question# 2(b):

There would be minimum following points as rights:

- To receive notice of the resolution to appointment another auditor
- To have written representations circulated to all members, or read out at the meeting
- To attend the meeting
- To be heard at the meeting
- To communicate such action to the ICAB, being regulator of all member firms.

Answer to the Question# 2(c):

An engagement letter:

(i) Establishes the purpose of the letter
(ii) Describes the nature of the services to be performed and professional standards that will be followed. This letter also clarifies that this is not an audit engagement, and that the nature of the opinion will differ an audit opinion.
(iii) Sets out the responsibilities of management in respect of the subject matter of the review.
(iv) Clarifies the clear boundary of the practitioner's responsibility, by which he tries to limit his liability, if fraud and errors exist but not detected due to the nature and scope of the engagement.
(v) Ensures consensus on the terms as both parties (practitioner and the directors) sign having all formal terms and conditions agreed.

Answer to the Question# 2(d):

For the inventory count we can follow the control reliance approach. We may deploy a sub team and count the stock. Applying the valuation model applicable for the company and we would match the stock value reported in the financial statements. If the amount matches, we may start rollback procedures to reach the year end amount through reconciling the receipts and issues during year end and current date.

For the goods in transit, we will follow the substantive tests approach. We will check the purchase and dispatch documents to confirm the amount and value of inventories in transit. Furthermore, we will confirm whether these in transit items have been received subsequently.

Answer to the Question# 3(a):

The business objective of ABC Airlines is to make profits from the provision of a daily air service between the two cities. Analysis of business risks should identify what risks exist within the business of ABC Airlines that might threaten the successful achievement of this objective, and in doing so have an impact on the financial statements of ABC Airlines.

Key word or phrase in the text of the scenario	Business risk indicated
Exclusive right	ABC Airlines has a right to operate the flights, but there are presumably terms and conditions attached to this right that ABC Airlines must comply with. The risk is a risk of non-compliance with the terms and conditions, which might put into doubt the company's continued right to operate the flights.
Exclusive right	ABC Airlines is currently operating a monopoly, but this may not always be the case and potential future competition could significantly affect the company's business.
	Widely advertised …as 'prompt, ABC Airlines might not live upto its own efficient and reliable' advertising and might disappoint customers, affecting its business.
30 year-old aircraft	The age of the aircraft could cause operating problems if it needs frequent repair. The relatively old age might also mean that fuel consumption (and therefore costs) is higher.
Leased	ABC Airlines will have no means of operating its service if it does not keep up the lease payments.
Overhaul of an engine usually puts the aircraft out of operational activity for up to five weeks.	ABC Airlines must have the engine overhauled regularly under the regulations of the CAA, but this will mean a break in its services as there is only one plane.

Answer to the Question# 3(b) (i):

Challenges in performing an assurance engagement on an electronic processing system

- The need for specialist knowledge about e-commerce systems.
- Problems that may arise when some aspects of the e-commerce system (such as the electronic payments system) are outsourced by the client to another entity.
- The role of the client's internal auditors in monitoring the integrity of the e-commerce system.
- The need for specialist controls (general and application controls) for the system
- Possible problems of independence and conflicts of interest, if the audit firm was involved in designing or setting up the e-commerce system that is now subject to 'audit'.

Answer to the Question# 3(b) (ii):

The audit approach to an e-commerce system should include the following elements:

- First of all, the audit firm should decide whether the engagement should be accepted (as in any professional engagement)
- The firm should then plan the engagement: an important aspect of planning may be to make available audit staff with appropriate expertise in e-commerce systems.
- The firm should obtain a detailed knowledge of the client's business.
- It should consider liaison with the internal auditors of the clent, if there have been internal audit investigations into the client's e-commerce transactions or system.
- The firm should identify and evaluate the risks in the system.

- It should ascertain and evaluate the control environment and the specific internal controls that are in operation.
- It may also be appropriate to perform a going concern review, particularly in the case of entities that rely mainly on e-commerce activities for their income.

Answer to the Question# 4(a):

Key words or phrases in the case study	Financial statement risk
manufactures 'high-tech' computer-controlled equipment	The company operates in a high-tech environment and inventories might be subject to obsolescence (business risk). Therefore inventories in the financial statements might be overstated (financial statement risk).
offer from a US corporation to buy Wilko HiTech's own manufacturing equipment	This will affect the way that items are presented in the financial statements. Profits or losses on sales must be disclosed separately, for example.
cease all manufacturing activities on 31 August 2021	Financial statements should therefore not be prepared on a going concern basis, but on a different basis, such as a break-up basis.
made redundant	If redundancy payments have not been paid at year end, provisions for redundancy payments will be needed in the financial statements.
small accounting … team	This may increase errors in processing accounting transactions towards the end of the year. Segregation of duties (as an internal control) might have been affected
Eight [premises] were put on the market on 1st August	This will affect the way that the premises are presented in the financial statements – as assets held for sale.
leases that will expire in the next three to five years. …. none of these premises can be sub-let and the leases cannot be sold	Full provision should be made for these onerous contracts in the financial statements. (This does not apply to the head office building which is still being used)
…warranty	Provisions will be needed in the financial statements for these warranties.
national and international distributors, under three-year agreements	The financial statements will need to include a provision for costs associated with breaching these agreements

Answer to the Question# 4(b):

The auditor should first establish whether ABODE Ltd. is a related party of ABC Company. From the information available it would seem that it is a related party, because the chairman of ABC Company, as a majority shareholder in ABODE Ltd., would appear to be in a position of influence in both companies.

Although the amount receivable is not material in terms of value (in relation to the value of total assets of ABC), the materiality of related party transactions should not be judged only on the basis of value. The nature of the transaction is also relevant for judging materiality. The auditor needs to obtain more information. The chairman should be asked to provide more details. In addition, the auditor should review the written terms of the transaction (if there are any) and should obtain a written representation from the chairman about the nature of his influence over ABODE Ltd., whether the amount receivable by ABC Company is likely to be recoverable and when it is likely to be paid. The auditor should also review board minutes of ABC Company for any recorded discussions by the board of the transaction with ABODE Ltd..

If the auditor takes the view that the transaction is a related party transaction, he should notify management of the need for disclosure in the financial statements. Disclosure is required of the nature and amount of the transaction, the amount of any balances (and details of any security given) and any allowances that have been made for an irrecoverable amount. Since the amount was receivable one year ago, the auditor should also consider the expected date of payment, and whether the balance is more in the nature of a long-term loan receivable than a current asset.

Answer to the Question# 5(a) (i):

The auditor's report as per ISA-700 (revised) has been prescribed in an orderly manner with specific paragraph offering necessary information for the users. The paragraphs are given below as prescribed in the said ISA:
Report on the audit of the financial statements

- Opinion
- Basis for opinion
- Material uncertainty related to going concern (if any)
- Emphasis of matter (if applicable)
- Key Audit Matters
- Other matters (if any)
- Other information (if applicable)
- Responsibilities of management and those charged with governance for the financial statements
- Auditor's responsibilities for the audit of financial statements

Report on other legal and regulatory requirements
The name of the engagement partner
Signature, address and date

Answer to the Question# 5(a) (ii):

The revised format of audit report requires various additional information which eventually require auditor to study few other ISAs critically. Of those four especially important ones are:

ISA-701 : For Key Audit Matters
ISA-705: For modifications to auditor's opinions
ISA-570: Enhanced reporting for going concern
ISA-720: for other information.

Answer to the Question# 5(b):

As per International Standards on Auditing-570 (revised): Going Concern, the reporting responsibilities of auditors at different situations are as follows:

Going concern basis of accounting is appropriate and no material uncertainty exists:

- Even when no material uncertainty exists, the auditor needs to evaluate whether in the view of requirements of the applicable financial reporting framework there is adequate disclosure.
- When ISA-701 applies, the auditor may consider certain events or conditions related to going concern to be determined as Key Audit Matters.

Going concern basis of accounting is appropriate but material uncertainty exists:

- An unmodified opinion is issued when adequate disclosure is made in the financial statements. The auditors' report includes a separate section-'
  "Material Uncertainty Related to Going Concern" when adequate disclosure is made. No emphasis of matter, unless required by law or national regulation/standards.
- Qualified or Adverse opinion if adequate disclosure is not made in the financial statements or in cases when management is unwilling t extend its assessment when requested to do so by the auditor.
- Disclaimer of opinion is considered in rare situations involving multiple uncertainties that are significant to the financial statements as a whole.

Going concern basis of accounting is not appropriate:

- Adverse opinion if management's use of the going concern basis of accounting in the preparation of the financial statements is inappropriate. In these circumstances, another basis (liquidation /break up basis) is deemed appropriate and it us irrelevant if appropriate disclosures are made regarding the inappropriateness of management's use of the going concern basis of accounting.

However, if our audit team believes that management plans and other factors need to be disclosed and if adequate disclosure is not made, on the grounds of non-disclosure a qualified or adverse report will be issued. Assume that at year end current liabilities exceed current assets. The auditor only conclude, on the basis of subsequent events, that it was only temporary phase, and therefore in his judgement, the going concern assumption was appropriate.

Answer to the Question# 5(c) (i):

Reporting Implication

1) The release of dye occurred after the end of the reporting period, so this is indicative of conditions existing after the end of the reporting period – the event could not be foreseen at the end of the reporting period.
In this case, no adjustment to the financial statements appears to be necessary.

However, the investigation by the Environmental Agency could result in a legal claim against the company for illegal pollution so as a material event it will need disclosure in the financial statements.

2) The problem with the inventory of mattress provides additional evidence of conditions existing at the end of the reporting period as the inventory was in existence and the faulty springs were included in the inventory at this time.

The value of the inventory is overstated and should be reduced to the lower of cost and net realisable value in accordance with IAS 2 Inventories.

An adjustment for this decrease in value must be made in the financial statements. The mattresses should therefore be valued at TK. 100,000 being the net realisable value.

The decrease in value of inventory took place after the end of the reporting period but before the financial statements and the audit report were signed.

The auditor has an active duty to design and perform audit procedures to obtain sufficient and appropriate evidence of all events up to date of the auditor's report that require adjustment or disclosure in the financial statements are:

- Identified
- Are suitably reported in the financial statements

Answer to the Question# 5(c) (ii):

Auditors Responsibility

1) As with event 1, the event takes place before the signing of the audit report, therefore the auditors have a duty to identify material events affecting the financial statements.

The event is after the reporting period but represent new conditions arising and therefore will qualify to be non-adjusting event. If the impact on the financial statements is material, the auditor should ensure adequate disclosure.

Where disclosure is not made and the auditor considers disclosure is necessary, modify the audit opinion on the grounds that the Financial Statements did not disclose all the information required. This will be for lack of disclosure (not provision) even though the amount cannot yet be determined.

Alternatively, if the auditor considers that the release of dye and subsequent fine will affect Masda Manufacturer Limited's ability to continue as a going concern, draw the members' attention to this in the material uncertainty relating to going concern paragraph of the audit report.

Audit procedures will include:

- Obtain any documentation on the event, for example board minutes, copies of environmental legislation and possibly interim reports from the Environmental Agency to determine the extent of the damage.
- Inquire of the directors whether they will disclose the event in the financial statements.
- If the directors plan to make disclosure of the event, ensure that disclosure appears appropriate.
- If the directors do not plan to make any disclosure, consider whether disclosure is necessary and inform the directors accordingly.

2) Auditor's Responsibility

These procedures should be performed as close as possible to the date of the auditor's report and in addition representation regarding subsequent events should be sought on the date the report was signed. The auditor should ensure that management have accounted for or disclosed subsequent events properly if not the implication on the audit report should be considered.

Audit procedures are therefore required to determine the net book value of the inventory and check that the TK. 100,000 is the sales value of the mattresses.

Audit procedures will include:

- Obtain documentation from the insurers confirming their estimate of the value of the mattresses and that no further insurance claim can be made for the loss in value.
- Contact solicitors/administrators of the spring supplier to confirm no refund can be expected for the defective springs.
- Obtain the amended financial statements and ensure that the directors have included TK. 100,000 as at the end of the reporting period and that the year-end value of inventory has been decreased to TK. 100,000 on the statement of financial position, statement of financial position note and the statement of comprehensive income.
- Review inventory lists to ensure that the defective springs were not used in any other mattresses and that further adjustments are not required to any other inventory.
- Obtain an additional management representation point confirming the accuracy of the amounts written-off and confirming that no other items of inventory are affected.
- Finally, assessing the effect on the audit opinion after the decision of the directors regarding the inventory value is known. A qualified opinion may be required where appropriate adjustments are not made to the financial statements.

Answer to the Question# 5(c) (iii):

Additional Audit Work

The notification of a fine has taken place after the audit report has been signed.

Audit procedures will include:

- Discuss the matter with the directors to determine their course of action.

- Where the directors decide to amend the disclosure in the financial statements, audit the amendment and then re-draft and re-date the audit report as appropriate.

- Where the directors decide not to amend the disclosure in the financial statements, the auditor can consider other methods of contacting the members. For example, the auditor can speak in the upcoming general meeting to inform the members of the event.

- Other options such as resignation seem inappropriate due to the proximity of the annual general meeting (AGM). Resignation would allow the auditor to ask the directors to convene an extraordinary general meeting, but this could not take place before the AGM so the auditor should speak at the AGM instead.

Answer to the Question# 5(d) (i):

Matters relevant to forming an opinion

The following matters are relevant to forming an appropriate opinion.

1) The accounting records for the opening three or four months of the year are missing.
2) The accounting records are missing because the former CEO absconded with them. There must be some reason why he took the accounting records: fraud is a possible reason.
3) The audit opinion for the previous financial year was unmodified. This would imply that the opening balances for the current year and comparative figures for the previous year are correct. However, this might not be the case.
4) If there is a possibility of fraud, this would raise doubts about the correctness of the auditor's report for the previous year. There may have been fraud last year that was undetected fraud. And this might have caused material misstatement to that auditor's report.
5) There is an inability to obtain sufficient appropriate audit evidence (limitation on scope) for the year to 31 December 2021.

Answer to the Question# 5(d) (ii):

Comments on these matters

Matter listed above	Comment
(1)	This constitutes a limitation on the scope of the audit (item 5 above). The auditors will not be able to obtain sufficient appropriate audit evidence about the relevant period. Therefore, the audit opinion will be modified. The modification should (a) give details of what records are missing and why, or (b) cross-refer to where this information is given in the financial statements. The extent of the modification will depend on which records are missing and where the auditors' scope is limited. It is likely that the information with regard to the income statement/statement of comprehensive income is limited, but possibly not the statement of financial position. A modification might be limited to a qualification ('except for') over the statement of comprehensive income for the first few months of the year.
(2)	However, there is an indication in the manner in which the CEO has taken the accounting records that there may have been a fraud. It is therefore probable that the auditors will have to modify the opinion even if they are able to reconstruct the financial records as it will not be possible to gain sufficient appropriate evidence about the possible fraud.
(3) and (4)	The previous auditor's report cannot be withdrawn but the auditors are not precluded from modifying their opinion for the current year on the basis of the comparative figures for the previous year. It is probable that any fraud in progress at the start of this financial year could have affected the previous financial year, unknown to the auditors at the time.

Conclusion about Robin's draft

Robin is correct to modify the opinion on the grounds of limitation of scope. However, the draft should:

- refer to the exact nature of the problem/possible fraud
- take account of a possible modification in relation to the comparative figures for the previous financial year
- take account of the fact that the problem may be limited to the statement of comprehensive income.

---The End---